

Micro- and Macroeconomics Lecture Notes

Based on Lectures by Zoltán Bánhidi and Zsolt Gilányi

2025

1 Introduction to Economics

Economics is the study of how wealth is accumulated and distributed within a system. This course covers both microeconomics and macroeconomics:

- **Microeconomics:** The study of individual decision-making and market interactions.
- **Macroeconomics:** The study of aggregate economic behavior, including national income, inflation, and growth.

2 Macroeconomics: Understanding Economic Systems

The economy is an organized system for the accumulation and distribution of wealth. A key work in economics is Adam Smith's (1776) *An Inquiry into the Nature and Causes of the Wealth of Nations*, which lays the foundation for understanding economic systems.

2.1 Theoretical Frameworks

Two main approaches exist for theorizing about economics:

1. **Scientific Theory Building:** A logical and empirical approach to understanding economic principles.
2. **Ideology-Driven Theorizing:** The interpretation of economic systems based on prevailing ideologies.

2.2 Historical Economic Systems

Different systems have evolved to regulate economic activities:

- **Feudalism:** Wealth concentrated in the hands of nobility.
- **Capitalism:** A market-driven system emphasizing private ownership.
- **Socialism:** Wealth distribution controlled by centralized planning.

3 Understanding Wealth

3.1 Minimal Postulates of Wealth Accumulation

Economists define wealth in two primary ways:

- **Real Analysis:** Wealth is defined by valuable possessions, which are useful and scarce commodities.
- **Monetary Analysis:** Wealth is the ability to spend money, considering assets and liabilities.

3.2 Assets and Liabilities

Wealth can be categorized as:

- **Real Assets:** Tangible assets such as land and commodities.
- **Financial Assets:** Claims or contracts such as stocks and bonds.
- **Liabilities:** Obligations that reduce wealth, such as debts.

4 Economic Behaviors

4.1 Key Drivers of Economic Decisions

Aristotle classified economic behaviors into two main types:

- **Oikonomia (Household Management):** Economic activities focused on satisfying human needs.
- **Chrematistics (Money Accumulation):** Activities aimed at maximizing monetary wealth.

4.2 Economic Theory Classifications

Economic theories can be broadly classified as:

- **Orthodox Economics:** Based on traditional market-driven mechanisms.
- **Heterodox Economics:** Includes Marxian and Keynesian critiques, offering alternative models of wealth distribution.

5 Conclusion

Economics provides the tools to understand wealth accumulation and distribution within society. The classification of theories and the study of behaviors help in comprehending how different economic systems function.